



TAXING TIMES

1 The US has paused 'reciprocal' tariff on most countries by 90 days but a 10% tariff remains

2 The proposed 26% tariff could still give India a comparative advantage, but sectors like gems and jewellery, steel, and auto may be hit

3 Concerns remain about India's economic growth and export growth in FY26

4 India hopes for a reprieve with the firming up of a bilateral trade agreement with the US

5 Need to build resilience, fast track other FTAs, unleash reforms

W ANIJA BHAWAN, LOCATED RIGHT NEXT TO INDIA GATE AMIDST LUSH GREEN TREES AND A PANORAMIC VIEW OF LUTYENS' DELHI, HOUSES THE UNION MINISTRY OF COMMERCE AND INDUSTRY. IN RECENT DAYS, IT HAS SEEN A FLURRY OF ACTIVITY AS OFFICIALS NEGOTIATE TRADE DEALS WITH OVER 10 COUNTRIES, INCLUDING THE US. THIS COMES AMID US PRESIDENT DONALD TRUMP'S SALVO OF "RECIPROCAL" TARIFFS FOR MOST COUNTRIES. THOUGH PAUSED FOR NOW, IT WARRANTS CLOSER SCRUTINY OF INDIA'S FOREIGN TRADE SITUATION AND A CALIBRATED POLICY RESPONSE.

38 | **EXPORTS WERE ONE** of the four key engines for the Indian economy outlined by Finance Minister Nirmala Sitharaman in Budget 2025-26, but trade dynamics have since become the topmost priority for New Delhi in light of an increasingly uncertain global environment and new dynamics that bring in fresh volatility into the mix almost every other day.

The tariffs, announced by Trump on April 2 and put on hold for 90 days on April 9, could trigger a recession in the US if and when they kick in, devastate global trade and economic growth prospects, and cast a shadow even on economies like India that have strong domestic drivers.

For India, trade and exports have become an increasingly important part of its economy. The country has set a target of reaching \$2 trillion in exports by 2030—with \$1 trillion each of merchandise and services exports—as it aspires to become a global

manufacturing hub. The share of goods exports is just 12% of the GDP as of now, compared with 20% for China.

In recent months, India's commerce ministry, led by Minister Piyush Goyal, has been engaged in a slew of negotiations for free trade agreements (FTAs) with several countries. Negotiations with the UK and New Zealand have also been re-launched with great gusto this year, even as the minister hopes to conclude at least a pact with the European Union this year. At present, India has FTAs with 13 countries, including the UAE, and an interim pact with Australia.

The sense of urgency was necessitated after Trump returned to the White House on a plank of protectionism that talked of Making America Great Again. Since Trump assumed office as the 47th President of the US in January, he has announced a series of tariff hikes on several items and countries, before finally unveiling his much-talked-about reciprocal tariffs on